GST Refund Guidelines and Inverted Duty Structure for MSME Exporters

Issuing Authority: Goods and Services Tax Network (GSTN), Ministry of Finance, Govt. of India

1. Fast-Track GST Refunds for Small Exporters

Micro, Small, and Medium Enterprises engaged in export of goods and services can export under a Letter of Undertaking (LUT) without upfront payment of Integrated GST (IGST). Small exporters can claim 100% refund of unutilized Input Tax Credit (ITC) accumulated on input raw materials under Section 54(3) of the CGST Act.

2. Inverted Duty Structure Relief

Where the tax rate on inputs is higher than the tax rate on output supplies (common in MSME sectors such as footwear, textiles, chemicals, and auto components), units are eligible for cash refund of unutilized ITC under Rule 89(5). The refund formula protects manufacturers against working capital blockage.

3. Online Application via Form GST RFD-01

All refund applications are processed electronically through the GST portal without manual physical submission. Applications accompanied by bank verification are sanctioned with 90% provisional refund disbursed within 7 days of acknowledgment.

4. Interest on Delayed Refunds

If the tax department fails to disburse the sanctioned refund within 60 days from the date of application receipt, interest at the rate of 6% per annum is statutory and automatically payable to the MSME applicant under Section 56.